

|                                                                                   |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
|-----------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|-----------|------------------------|-----------------------------------------------|--------------------------|-------|------------|
|  |                | <b>DAILY DRILLING REPORT</b>                                                                                                           |                                                                                                                                                                          |                                     |           | REPORT # 001           |                                               | 21/08/2018               |       |            |
|                                                                                   |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           | SPUD: 21/08/2018       |                                               | DAY # 047                |       |            |
| WELL                                                                              | Palm Valley 13 | 24:00 MD/ TVD                                                                                                                          | 23.5 / 23m BRT                                                                                                                                                           | DRILLED                             | 16m       | AFE DAYS / COST        | 45                                            | \$11,347,521             |       |            |
| RIG                                                                               | ENSGN 932      | FORMATION                                                                                                                              | Hermannsburg Sandstone                                                                                                                                                   | DAILY COST                          | \$129,022 | CUM.                   | \$5,259,127                                   |                          |       |            |
| <b>DAILY OP'S SUMMARY</b>                                                         |                | Completed rig up and prespud inspections, drilled and installed mousehole, spudded PV13 drilled to 23.5mMD and ran conductor #1.       |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| <b>FORECAST OP'S</b>                                                              |                | Waited on Halliburton cementers to reset hours, cement conductor, wait on cement, install riser, make up BHA and Drill 17 1/2" hole.   |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| LAST CASING                                                                       | 508mm          | 20.0"                                                                                                                                  | SET AT                                                                                                                                                                   | 23.5m                               | MAASP     |                        | BOP TEST                                      | NIL                      | DUE   |            |
| <b>LAST L.T.I.</b><br><b>430 Days</b>                                             | <b>SAFETY</b>  |                                                                                                                                        | 1. PTSM; Daily work scope, BBS cards, PTW, JSA and prespud check lists.<br>2. PTSM; Discussed making up BHA, housekeeping, grader working on road and prespud documents. |                                     |           |                        | <b>WEATHER: Day</b> Fine<br><b>Night</b> Fine |                          |       |            |
| <b>T0002 BIT INFORMATION</b>                                                      |                | <b>T0003 BHA # 1</b>                                                                                                                   |                                                                                                                                                                          | <b>T0004 MUD PROPERTIES</b>         |           | <b>T0005 OPERATION</b> |                                               |                          |       |            |
| WOB(Klb)                                                                          | 3-10           | JET V(fps)                                                                                                                             | 98                                                                                                                                                                       | TOOL                                | LENGTH    | Mud Type               | Gel Spud Mud                                  | 1 Move/ Rig Up/Down      | 15.50 | 1119.50    |
| RPM                                                                               | 60             | H S I                                                                                                                                  | 0.03                                                                                                                                                                     | Bit - Tri Cone                      | 0.53      | Depth (m)              | 8                                             | 2 Drilling               | 2.00  | 2.00       |
| BIT NUMBER                                                                        | 1              | A                                                                                                                                      |                                                                                                                                                                          | Bit Sub                             | 0.76      | Density (ppg)          | 8.45                                          | 3 Wash / Ream            |       |            |
| Size (inches)                                                                     | 24.0           | 24.0                                                                                                                                   |                                                                                                                                                                          | NOV Fluid Hammer- 9 5/8"            | 10.99     | ECD (ppg)              | 8.54                                          | 4 Coring                 |       |            |
| Make                                                                              | Stealth        | CONDUCTOR                                                                                                                              |                                                                                                                                                                          | Crossover Sub                       | 0.76      | Temp (° C)             | 20                                            | 5 Circ & Condition       | 2.00  | 2.00       |
| Type                                                                              | STC42X         |                                                                                                                                        |                                                                                                                                                                          | Drill Collar- 9 1/2"                | 9.29      | Viscosity (sec)        | 106                                           | 6 Tripping- Bit / Casing | 0.75  | 0.75       |
| IADC Code                                                                         | 425X           |                                                                                                                                        |                                                                                                                                                                          | Crossover Sub                       | 1.09      | PV / YP (cp/lb)        | 22 / 34                                       | 6.1 Tripping- Other      |       |            |
| Serial Number                                                                     | HT9011         |                                                                                                                                        |                                                                                                                                                                          | Crossover Sub                       | 0.66      | Gels (10s/m)           | 28 / 34                                       | 6.2 Wiper Trip           |       |            |
| T.F.A. (in)                                                                       | 1.052          |                                                                                                                                        |                                                                                                                                                                          | Crossover Sub                       | 0.32      | API Filt. (cc)         | 15.0                                          | 6.3 Handle BHA           |       |            |
| Depth In (m)                                                                      | 8              |                                                                                                                                        |                                                                                                                                                                          |                                     |           | Sand (% Vol)           | 0.0                                           | 7 Service / Slip Line    |       |            |
| Depth Out (m)                                                                     | 24             | 8                                                                                                                                      |                                                                                                                                                                          |                                     |           | KCl (%)                |                                               | 8 Repairs                |       |            |
| Total Meters                                                                      | 16             | 8                                                                                                                                      |                                                                                                                                                                          |                                     |           | pH (strip)             | 9.5                                           | 10 Survey                |       |            |
| Hours IADC   OnBtm                                                                | 2   2          | 0   0                                                                                                                                  |                                                                                                                                                                          |                                     |           | LGS %/Vol              |                                               | 11 Logging               |       |            |
| ROP IADC   OnBtm                                                                  | 8   8          |                                                                                                                                        |                                                                                                                                                                          |                                     |           | Chlorides (ppm)        | 160                                           | 12 RU for Csg / Cmt      |       |            |
| T0006 FLOW DATA                                                                   |                | 1 1 WT A E 0 No TD                                                                                                                     |                                                                                                                                                                          | BHA LENGTH                          |           | 24.40                  |                                               | Surface Vol. (Bbls)      |       | 373        |
| FLOW DATA                                                                         |                |                                                                                                                                        |                                                                                                                                                                          | BHA WEIGHT                          |           | 14.92                  |                                               | Hole Vol.                |       | 20         |
| RATE (gpm/ps)                                                                     | 321            | 20.2                                                                                                                                   |                                                                                                                                                                          | STRING WT                           |           | 14.88                  |                                               | Mud Mixed                |       | 436        |
| AV - DP (fpm/mpm)                                                                 | 14             | 4                                                                                                                                      |                                                                                                                                                                          | HOOK LOAD                           |           | 42.00                  |                                               | New Hole Drilled         |       | 28.5       |
| AV - DC (fpm/mpm)                                                                 | 16             | 5                                                                                                                                      |                                                                                                                                                                          | WT BELOW JARS                       |           |                        |                                               | Downhole Losses          |       | 63         |
| SPP (psi/atm)                                                                     | 630            | 43                                                                                                                                     |                                                                                                                                                                          | HOURS: JAR   MTR                    |           | 2.0                    |                                               | T0007 CHEMICAL USAGE     |       | -28        |
| T0008 PUMP DATA                                                                   |                |                                                                                                                                        |                                                                                                                                                                          | DRAG: UP   DOWN                     |           | 0                      |                                               | AMC Biocide G            |       | 2          |
| PUMP DATA                                                                         |                |                                                                                                                                        |                                                                                                                                                                          | T0009 SUPPLY OFF                    |           | 1500                   |                                               | AMC Bore Seal Fine       |       | 10         |
| #1: NAT 8-P-80                                                                    | STROKE         | 9.0"                                                                                                                                   |                                                                                                                                                                          | SURVEYS: MD   INC'   AZ'            |           |                        |                                               | AMC Quickseal Medium     |       | 30         |
| RATE                                                                              |                |                                                                                                                                        |                                                                                                                                                                          | 0   0   0                           |           |                        |                                               | Aus-Ben A                |       | 140        |
| LINER                                                                             | 6.0"           |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               | Caustic Soda             |       | 3          |
| #2: NAT 8-P-80                                                                    | STROKE         | 9.0"                                                                                                                                   |                                                                                                                                                                          |                                     |           |                        |                                               | Kwikseal Fine            |       | 14         |
| RATE                                                                              | 100            |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               | Xan-Bore                 |       | 1          |
| LINER                                                                             | 6.0"           |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| #3: IDECO T-800                                                                   | STROKE         | 8.5"                                                                                                                                   |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| RATE                                                                              |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| T0010 PRODUCTS USED   REC   ON SITE                                               |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| TOTALS                                                                            |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       | 33.00      |
| DAILY MUD COSTS                                                                   |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       | \$4,792.24 |
| CUM. MUD COSTS                                                                    |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       | \$4,792.24 |
| <b>T0011 HOURLY OPERATIONS SUMMARY 0000 to 2400</b>                               |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| From                                                                              | To             | [IADC Code] Description                                                                                                                |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 0:00                                                                              | 6:00           | [ 1 ] Mixed spud mud and LCM pill, surface lines pressure tested to 250/2500 psi - OK, made up BHA and prepared to drill mousehole.    |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 6:00                                                                              | 9:00           | [ 1 ] Drilled mouse hole and installed mouse hole sock.                                                                                |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 9:00                                                                              | 10:00          | [ 1 ] Broke down and laid out 12 1/4" BHA.                                                                                             |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 10:00                                                                             | 11:00          | [ 1 ] Reset rig smart and crown-o-matic set points.                                                                                    |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 11:00                                                                             | 12:00          | [ 1 ] PJSM, made up 24" BHA.                                                                                                           |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 12:00                                                                             | 12:30          | [ 1 ] Held PJSM, discussed handling BHA, Driving to the conditions with Grader on road.                                                |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 12:30                                                                             | 14:30          | [ 1 ] Made up 24" BHA, Centralize BHA in sub-base for hole centre.                                                                     |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 14:30                                                                             | 15:30          | [ 1 ] Conducted Muster drill and 1 man missing drill, Conducted Pre-spud hazard hunt, Held pre-spud safety meeting with all personnel. |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 15:30                                                                             | 17:30          | [ 2 ] Spudded PV13 and drilled 24" hole from 8m to 23.5m RT                                                                            |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 17:30                                                                             | 17:45          | [ 5 ] Circulated hole clean.                                                                                                           |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 17:45                                                                             | 18:00          | [ 6 ] Pulled out of hole.                                                                                                              |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 18:00                                                                             | 19:45          | [ 5 ] PJSM, pumped out and cleaned out cuttings from cellar.                                                                           |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 19:45                                                                             | 20:15          | [ 6 ] PJSM, racked back BHA and stood in mast.                                                                                         |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 20:15                                                                             | 23:00          | [ 12.1 ] PJSM, picked up and ran 20" conductor casing, made up and ran cement stringer.                                                |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 23:00                                                                             | 0:00           | [ 12.2 ] NPT- Waited on Halliburton cementers to reset hours.                                                                          |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| <b>T0012 HOURLY OPERATIONS SUMMARY 0000 to 0600 on 22/08/18</b>                   |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 0:00                                                                              | 3:00           | Waited on Halliburton cementers to reset hours.                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 3:00                                                                              | 4:30           | Rigged up to cement, PJSM, mixed and pumped 3.5 bbls 15.8 ppg cement plug through stinger inside casing.                               |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| 4:30                                                                              | 6:00           | Waited on cement. Laid out stinger.                                                                                                    |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| <b>T0013 MAXIMUM GAS</b>                                                          |                |                                                                                                                                        |                                                                                                                                                                          |                                     |           |                        |                                               |                          |       |            |
| MAXIMUM GAS:                                                                      |                | BACKGROUND GAS:                                                                                                                        |                                                                                                                                                                          | CONNECTION GAS:                     |           | TRIP GAS:              |                                               |                          |       |            |
| SUPERVISOR: Kev Dau / Mark Booth                                                  |                | GEOLOGIST: Phil Allen / Peter Morris                                                                                                   |                                                                                                                                                                          | RIG MGR: Gary Hender / Adam delaine |           |                        |                                               |                          |       |            |

POB-36: Ensign - 20, CT - 4, OICS - 3, Halliburton - 4, Pason - 1, OCS - 1, SiteMed - 1, RMN - 1, ERMS - 1

9,852 Hrs

RECEIVED: Drill water and mist pumps.

DISPATCHED: